## 1. Executive summary

I recommend that Dan take the venture debt from Orlando, but use it carefully as runway insurance, not as fuel for aggressive expansion. The numbers show that without any new capital, Avid's Base case runs out of cash after about 22 months, while the Hibernation plan extends that to about 26 months. Adding a $7.5M loan at 11.5% pushes the cash-out point to roughly 31 months, giving Avid about nine extra months to start AV-45 Phase III, package data for pharma partners, and try to raise a Series D in a calmer market. The equity cost of this debt is small, roughly 0.7% dilution from warrants, compared with the 20 to 25% dilution that a $25M down-round would likely create if raised at a much lower valuation in today's environment.

However, debt also adds about $1.6M in interest and nearly $289k per month in fixed payments once amortization begins, and it sits senior to all equity. To manage that risk, Avid should choose Orlando's relatively clean term sheet, draw only what it needs and keep most of the proceeds in cash, tighten the operating plan by prioritizing AV-45 while deferring the most expensive hiring and facility commitments, and adopt clear triggers that force a shift into Hibernation and halt further draws if a D round or major partnership is not secured by a set date. Through this way, the lender gets a well-priced, senior loan with a small equity kicker, and Avid buys enough time to avoid a potentially disastrous equity raise while still preserving the option to pull back, pay down the loan, and survive as a lean, AV-45-focused or licensing-based company if capital markets do not improve.

## 2. Analysis: venture debt vs. alternatives

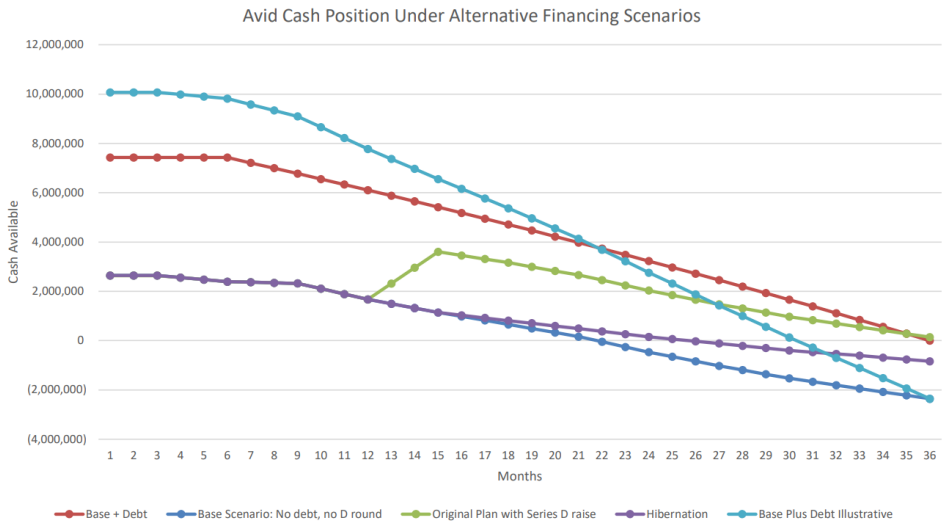
### 2.1 What the cash-runway numbers say

From the quarterly cash balances in the Runway tab, the Base scenario (no D, no debt) shows Avid's cash falling from $26.4M in Q1 2008 to $16.7M in Q4 2008, then down to $1.6M by Q3 2009, -$4.7M by Q4 2009, and -$23.6M by Q4 2010. Under the Original Plan (with a $25M Series D in Q1 2009), the company also sits at $16.7M in Q4 2008, but cash then jumps to $36.0M in Q1 2009 and remains positive through Q4 2010, ending that period with $1.4M. The Hibernation scenario (AV-45 only, no D, no debt) starts from the same $16.7M in Q4 2008 but declines more slowly, with $4.9M remaining by Q3 2009 and –$8.4M by Q4 2010.

When we translate these quarterly points into a monthly cash path and plot them; in the Base scenario, the monthly cash balance turns negative around month 22, at roughly -$50k. In Hibernation, cash stays positive until about month 26 before dipping slightly below zero. In the Base plus Debt illustrative case, cash remains positive until about month 31, so the debt effectively buys roughly nine extra months of runway versus the Base case. By contrast, under the Original Plan with Series D, the cash balance never goes negative within the 36-month horizon we modeled and ends around $140k at month 36.

In pure runway terms, venture debt adds about nine months relative to Base, but does not eliminate the risk of running out of cash. Hibernation, without any leverage, buys roughly four additional months over Base simply by cutting burn and focusing on AV-45 only. A timely Series D round buys the most runway

and keeps cash positive for the full period, but in the worst capital market environment in decades it may be unrealistic on attractive terms or only achievable at a highly dilutive valuation.




| Months | Base + Debt | Base Scenario: No debt, no D round | Original Plan with Series D raise | Hibernation | Base Plus Debt Illustrative |
|---|---|---|---|---|---|
| 1 | 7,428,125 | 2,640,000 | 2,640,000 | 2,640,000 | 10,068,125 |
| 2 | 7,428,125 | 2,640,000 | 2,640,000 | 2,640,000 | 10,068,125 |
| 3 | 7,428,125 | 2,640,000 | 2,640,000 | 2,640,000 | 10,068,125 |
| 4 | 7,428,125 | 2,556,667 | 2,556,667 | 2,556,667 | 9,984,792 |
| 5 | 7,428,125 | 2,473,333 | 2,473,333 | 2,473,333 | 9,901,458 |
| 6 | 7,428,125 | 2,390,000 | 2,390,000 | 2,390,000 | 9,818,125 |
| 7 | 7,211,155 | 2,366,667 | 2,366,667 | 2,366,667 | 9,577,822 |
| 8 | 6,994,185 | 2,343,333 | 2,343,333 | 2,343,333 | 9,337,518 |
| 9 | 6,775,136 | 2,320,000 | 2,320,000 | 2,320,000 | 9,095,136 |
| 10 | 6,553,987 | 2,103,333 | 2,103,333 | 2,103,333 | 8,657,321 |
| 11 | 6,330,719 | 1,886,667 | 1,886,667 | 1,886,667 | 8,217,386 |
| 12 | 6,105,312 | 1,670,000 | 1,670,000 | 1,670,000 | 7,775,312 |
| 13 | 5,877,744 | 1,493,333 | 2,313,333 | 1,493,333 | 7,371,078 |
| 14 | 5,647,996 | 1,316,667 | 2,956,667 | 1,316,667 | 6,964,662 |
| 15 | 5,416,045 | 1,140,000 | 3,600,000 | 1,140,000 | 6,556,045 |
| 16 | 5,181,872 | 980,000 | 3,453,333 | 1,030,000 | 6,161,872 |
| 17 | 4,945,455 | 820,000 | 3,306,667 | 920,000 | 5,765,455 |
| 18 | 4,706,772 | 660,000 | 3,160,000 | 810,000 | 5,366,772 |
| 19 | 4,465,802 | 493,333 | 2,993,333 | 703,333 | 4,959,135 |
| 20 | 4,222,522 | 326,667 | 2,826,667 | 596,667 | 4,549,189 |
| 21 | 3,976,911 | 160,000 | 2,660,000 | 490,000 | 4,136,911 |
| 22 | 3,728,946 | (50,000) | 2,450,000 | 376,667 | 3,678,946 |
| 23 | 3,478,605 | (260,000) | 2,240,000 | 263,333 | 3,218,605 |
| 24 | 3,225,865 | (470,000) | 2,030,000 | 150,000 | 2,755,865 |
| 25 | 2,970,703 | (656,667) | 1,843,333 | 60,000 | 2,314,036 |
| 26 | 2,713,095 | (843,333) | 1,656,667 | (30,000) | 1,869,762 |
| 27 | 2,453,019 | (1,030,000) | 1,470,000 | (120,000) | 1,423,019 |
| 28 | 2,190,450 | (1,196,667) | 1,303,333 | (213,333) | 993,783 |
| 29 | 1,925,365 | (1,363,333) | 1,136,667 | (306,667) | 562,031 |
| 30 | 1,657,739 | (1,530,000) | 970,000 | (400,000) | 127,739 |
| 31 | 1,387,549 | (1,670,000) | 830,000 | (470,000) | (282,451) |
| 32 | 1,114,769 | (1,810,000) | 690,000 | (540,000) | (695,231) |
| 33 | 839,376 | (1,950,000) | 550,000 | (610,000) | (1,110,624) |
| 34 | 561,343 | (2,086,667) | 413,333 | (686,667) | (1,525,324) |
| 35 | 280,646 | (2,223,333) | 276,667 | (763,333) | (1,942,688) |
| 36 | (2,742) | (2,360,000) | 140,000 | (840,000) | (2,362,742) |

Table 1. Cash Runway

### 2.2 Using the venture-debt schedule

Avid would borrow $7.5M at an 11.5% interest rate, structured as six months of interest only payments from December 2008 through May 2009, followed by 30 months of level payments. During the interest-only period, the company would pay $71,875 per month, with the principal balance remaining at $7.5M. Once amortization begins, the monthly payment jumps to about $288,845, made up of a rising principal component and a declining interest component over time. Over the full life of the facility, Avid would pay roughly $1,596,600 in interest, bringing the total cash outflow to about $9,096,600.

Although Avid will get $7.5M up front, over just over three years it is committing to nearly $9.1M of future cash outflows, on top of its ongoing operating burn. This is exactly why, in the cash-runway chart, the Base + Debt line eventually crosses below the Base line once amortization kicks in. Every month after June 2009, the debt is pulling close to $289k out of the business in fixed, senior payments.

From the perspective of Hardy's more skeptical colleagues, this is the core argument against taking the loan. In the Base scenario, without debt, the company already sees its cash position deteriorate from $26.4M to -$23.6M in less than three years. Layering on an additional $289k per month of mandatory senior payments further increases the probability that cash hits zero before Avid can complete a D round or achieve an exit, and it makes any "bad" outcome, no new capital, delayed partnering, or a weak M&A market, much worse for equity holders.

| | |
|---|---|
| LOAN | -$7,500,000 |
| RATE | 11.50% |
| TERM | 30 |
| | 3.8513% |

| MONTH | | DRAW DOWN | LOAN BALANCE BOM | PRINCIPAL PAYMENT | INTEREST PAYMENT | MONTHLY PAYMENT | LOAN BALANCE EOM | INTEREST EARNED/PAID | Rate 2% |
|---|---|---|---|---|---|---|---|---|---|
| Dec-08 | 1 | (7,500,000) | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 12,500 | |
| Jan-09 | 2 | - | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 12,380 | |
| Feb-09 | 3 | - | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 12,260 | |
| Mar-09 | 4 | - | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 12,141 | |
| Apr-09 | 5 | - | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 12,021 | |
| May-09 | 6 | - | (7,500,000) | 0.00 | 71,875.00 | 71,875.00 | (7,500,000.00) | 11,901 | |
| Jun-09 | 7 | - | (7,500,000) | 216,969.98 | 71,875.00 | 288,844.98 | (7,283,030.02) | 11,781 | |
| Jul-09 | 8 | | (7,283,030) | 219,049.28 | 69,795.70 | 288,844.98 | (7,063,980.73) | 11,300 | |
| Aug-09 | 9 | | (7,063,981) | 221,148.50 | 67,696.48 | 288,844.98 | (6,842,832.23) | 10,818 | |
| Sep-09 | 10 | | (6,842,832) | 223,267.84 | 65,577.14 | 288,844.98 | (6,619,564.39) | 10,337 | |
| Oct-09 | 11 | | (6,619,564) | 225,407.49 | 63,437.49 | 288,844.98 | (6,394,156.90) | 9,856 | |
| Nov-09 | 12 | | (6,394,157) | 227,567.65 | 61,277.34 | 288,844.98 | (6,166,589.25) | 9,374 | |
| Dec-09 | 13 | | (6,166,589) | 229,748.50 | 59,096.48 | 288,844.98 | (5,936,840.74) | 8,893 | |
| Jan-10 | 14 | | (5,936,841) | 231,950.26 | 56,894.72 | 288,844.98 | (5,704,890.48) | 8,411 | |
| Feb-10 | 15 | | (5,704,890) | 234,173.12 | 54,671.87 | 288,844.98 | (5,470,717.37) | 7,930 | |
| Mar-10 | 16 | | (5,470,717) | 236,417.28 | 52,427.71 | 288,844.98 | (5,234,300.09) | 7,449 | |
| Apr-10 | 17 | | (5,234,300) | 238,682.94 | 50,162.04 | 288,844.98 | (4,995,617.15) | 6,967 | |
| May-10 | 18 | | (4,995,617) | 240,970.32 | 47,874.66 | 288,844.98 | (4,754,646.83) | 6,486 | |
| Jun-10 | 19 | | (4,754,647) | 243,279.62 | 45,565.37 | 288,844.98 | (4,511,367.21) | 6,004 | |
| Jul-10 | 20 | | (4,511,367) | 245,611.05 | 43,233.94 | 288,844.98 | (4,265,756.16) | 5,523 | |
| Aug-10 | 21 | | (4,265,756) | 247,964.82 | 40,880.16 | 288,844.98 | (4,017,791.34) | 5,042 | |
| Sep-10 | 22 | | (4,017,791) | 250,341.15 | 38,503.83 | 288,844.98 | (3,767,450.19) | 4,560 | |
| Oct-10 | 23 | | (3,767,450) | 252,740.25 | 36,104.73 | 288,844.98 | (3,514,709.93) | 4,079 | |
| Nov-10 | 24 | | (3,514,710) | 255,162.35 | 33,682.64 | 288,844.98 | (3,259,547.58) | 3,597 | |
| Dec-10 | 25 | | (3,259,548) | 257,607.65 | 31,237.33 | 288,844.98 | (3,001,939.93) | 3,116 | |
| Jan-11 | 26 | | (3,001,940) | 260,076.39 | 28,768.59 | 288,844.98 | (2,741,863.54) | 2,634 | |
| Feb-11 | 27 | | (2,741,864) | 262,568.79 | 26,276.19 | 288,844.98 | (2,479,294.74) | 2,153 | |
| Mar-11 | 28 | | (2,479,295) | 265,085.08 | 23,759.91 | 288,844.98 | (2,214,209.67) | 1,672 | |
| Apr-11 | 29 | | (2,214,210) | 267,625.48 | 21,219.51 | 288,844.98 | (1,946,584.19) | 1,190 | |
| May-11 | 30 | | (1,946,584) | 270,190.22 | 18,654.77 | 288,844.98 | (1,676,393.97) | 709 | |
| Jun-11 | 31 | | (1,676,394) | 272,779.54 | 16,065.44 | 288,844.98 | (1,403,614.43) | 227 | |
| Jul-11 | 32 | | (1,403,614) | 275,393.68 | 13,451.30 | 288,844.98 | (1,128,220.75) | (254) | |
| Aug-11 | 33 | | (1,128,221) | 278,032.87 | 10,812.12 | 288,844.98 | (850,187.88) | (735) | |
| Sep-11 | 34 | | (850,188) | 280,697.35 | 8,147.63 | 288,844.98 | (569,490.53) | (1,217) | |
| Oct-11 | 35 | | (569,491) | 283,387.37 | 5,457.62 | 288,844.98 | (286,103.16) | (1,698) | |
| Nov-11 | 36 | | (286,103) | 286,103.16 | 2,741.82 | 288,844.98 | (0.00) | (2,180) | |
| Dec-11 | 37 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Jan-12 | 38 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Feb-12 | 39 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Mar-12 | 40 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Apr-12 | 41 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| May-12 | 42 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Jun-12 | 43 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Jul-12 | 44 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Aug-12 | 45 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Sep-12 | 46 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Oct-12 | 47 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Nov-12 | 48 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| Dec-12 | 49 | | (0) | (0.00) | 0.00 | 0.00 | (0.00) | (2,661) | |
| TOTAL | | (7,500,000) | | 7,500,000 | 1,596,600 | 9,096,600 | | 182,635 | |

Table 2. Venture Debt Schedule

### 2.3 Debt vs. dilution using the cap table

The cap table after the C round, at an $88M post-money valuation, shows that Avid has 11,723,450 fully diluted shares outstanding. Ownership is split among several key groups: institutional investors hold 29.5% of the company (3,458,894 equivalent shares), strategics such as Lilly and Pfizer together own 23.0% (2,693,869 shares), angels hold 8.0% (933,398 shares), management holds 13.1% (1,537,288 shares), and the employee option pool accounts for the remaining 26.4% (3,100,000 options). On this base, the implied C-round share price is approximately $7.51, simply $88M divided by the 11.72M fully diluted shares.

Against this backdrop, the warrants attached to the venture-debt facility can be translated into concrete dilution. Orlando's term sheet specifies warrants equal to 8% of the drawn loan amount, priced at the existing preferred share price. If Avid were to draw the full $7.5M, the dollar value of the warrant coverage would be $600,000 (8% x 7.5M). At a share price of about $7.51, those warrants would represent roughly 80,000 shares (600,000/7.51). Relative to the fully diluted share count of 11.72M, this implies dilution of only about 0.7% of the company. In other words, the equity cost of the debt, with Orlando's warrants, is well under one percent on a fully diluted basis, but quite small compared to the double digit dilution that a new equity round would likely impose.

| Entity | Common Stock | Options | Series A Preferred | Series B Preferred | Series C Preferred | Common Stock Equivalents | Fully Dilluted Ownership |
|---|---|---|---|---|---|---|---|
| Institutional Investors | | | | | | 0 | 0.0% |
| Strategics | | | | | | 0 | 0.0% |
| Angels | 933,398 | | | | | 933,398 | 18.4% |
| Management | 1,026,757 | | | | | 1,026,757 | 20.3% |
| Authorized options | | 3,100,000 | | | | 3,100,000 | 61.3% |
| Total Issued Shares | 1,960,155 | 3,100,000 | 0 | 0 | 0 | 5,060,155 | 100.0% |

**A Round, early 2005 (Investment) =** **1,500,000** P= 1.19 **Post Money = 7,500,000** **Pre Money = 6,000,000**

| Entity | Common Stock | Options | Series A Preferred | Series B Preferred | Series C Preferred | Common Stock Equivalents | Fully Dilluted Ownership |
|---|---|---|---|---|---|---|---|
| Institutional Investors | | | 927,695 | | | 927,695 | 14.7% |
| Stategics | | | | | | 0 | 0.0% |
| Angels | 933,398 | | | | | 933,398 | 14.8% |
| Management | 1,026,757 | | 337,344 | | | 1,364,101 | 21.6% |
| Authorized options | | 3,100,000 | | | | 3,100,000 | 49.0% |
| Total Issued Shares | 1,960,155 | 3,100,000 | 1,265,039 | | | 6,325,194 | 100% |

**B Round, late 2005 (Investment) =** **8,900,000** P= 4.60 **Post Money = 38,000,000** **Pre Money = 29,100,000**

| Entity | Common Stock | Options | Series A Preferred | Series B Preferred | Series C Preferred | Common Stock Equivalents | Fully Dilluted Ownership |
|---|---|---|---|---|---|---|---|
| Institutional Investors | | | 927,695 | | | 927,695 | 11.2% |
| Stategics | | | | 1,934,509 | | 1,934,509 | 23.4% |
| Angels | 933,398 | | | | | 933,398 | 11.3% |
| Management | 1,026,757 | | 337,344 | | | 1,364,101 | 16.5% |
| Authorized options | | 3,100,000 | | | | 3,100,000 | 37.5% |
| Total Issued Shares | 1,960,155 | 3,100,000 | | | | 8,259,703 | 100% |

**C Round, April 2007 (Investment) =** **26,000,000** P= 7.51 **Post Money = 88,000,000** **Pre Money = 62,000,000**

| Entity | Common Stock | Options | Series A Preferred | Series B Preferred | Series C Preferred | Common Stock Equivalents | Fully Dilluted Ownership |
|---|---|---|---|---|---|---|---|
| Institutional Investors | | | 927,695 | | 2,531,199 | 3,458,894 | 29.5% |
| Stategics | | | | 1,934,509 | 759,360 | 2,693,869 | 23.0% |
| Angels | 933,398 | | | | | 933,398 | 8.0% |
| Management | 1,026,757 | | 337,344 | | 173,187 | 1,537,288 | 13.1% |
| Authorized options | | 3,100,000 | | | | 3,100,000 | 26.4% |
| Total Issued Shares | 1,960,155 | 3,100,000 | | | 3,463,746 | 11,723,450 | 100% |

Table 3. Cap Table

**3. Stakeholder conflicts using the numbers**

**Management & employees (13.1% + 26.4% options = 39.5%)**

- Very exposed to dilution and to total loss if the company defaults and equity is wiped out.
- A down-round at $100M post could cut their combined stake from 39.5% to 30%.

**Institutional investors (29.5%)**

- Entered at higher prices (B and C rounds at P = $4.60 and $7.51).
- Need a relatively large exit to meet fund-level returns.
- They may be more willing to take leverage risk if Avid preserves the full "platform company" upside with AV-45 + AV-133 + diabetes, rather than a smaller AV-45 only outcome.

**Strategics (23.0%)**

- Care about AV-45 and AV-133 as imaging agents to support their own Alzheimer's and Parkinson's drug pipelines.
- Likely to oppose extreme hibernation that kills these programs, even if hibernation is financially safer, and may be comfortable with either debt or equity so long as key programs continue.

**Angels (8.0%)**

- At very low entry prices; even a modest sale is a win.
- Likely to be more conservative; they may prefer no leverage + hibernation versus risking a default that leads to a fire sale where senior debt soaks up most of the value.

**How to reconcile**

To reconcile these conflicts, the board first needs a quantitative scenario comparison that everyone can see and react to. Using the monthly cash-runway table, management should explicitly lay out when cash goes to zero under each strategic option. Layering expected equity values and rough exit outcomes onto each of these branches lets each shareholder group see not just abstract risk, but their specific economic outcome under each path.

Second, the board should agree in advance on clear thresholds and triggers for changing course. For example, they could specify that if by month 18 there is no signed D-round term sheet or major pharma partnership, Avid will immediately stop drawing new debt and pivot into the Hibernation plan. This kind of pre-commitment helps protect management and early investors from being dragged into an involuntary default scenario by inertia or optimism bias.

Third, the company should choose Orlando as the lender and deliberately limit its usage of the facility. Orlando's term sheet has no MAC clause and offers a reasonable balance on pricing and warrants. Avid should treat this facility as optional rather than as "money to be spent". Drawing smaller tranches as needed and holding them largely as cash until external capital is secured.

Finally, the board can help align incentives by adjusting compensation if a more conservative strategy is chosen. If hibernation or cost cuts reduce perceived upside for employees and management, the company can refresh the existing option pool (3.1M options) or issue new equity awards to keep key talent motivated, without resorting to excessive leverage. This makes it easier to get all stakeholders on

board with a cautious, risk-managed plan that uses debt sparingly and prioritizes long-term value creation over short-term expansion.

**4. Should Dan take the venture debt?**

Dan should take the venture debt, but only under a conservative, conditional plan. Without any new capital, the Base case gives Avid about 22 months of life, Hibernation extends that to about 26 months, and adding the $7.5M loan stretches runway to roughly 31 months. That extra nine month window is exactly what Avid needs to start AV-45 Phase III, package data for pharma partners, and aim for a Series D in a less chaotic market. At the same time, the equity cost of the loan, about 0.7% dilution from Orlando-style warrants, is negligible compared to the 20–25% dilution that a plausible $25M down-round would impose at a much lower post-money valuation.

The facility, however, should be used as runway insurance, not as a license to spend. Avid should accept Orlando's terms (or an equivalent structure with no MAC and staged draws), take an initial tranche and keep most of it in cash, and moderate its growth plan: prioritize AV-45 Phase III and targeted AV-133 work while deferring discretionary spending and the most aggressive hiring and facility commitments. The board should also adopt clear triggers—if a D round or major pharma deal is not secured by a set date (for example, mid-2009), the company stops drawing additional debt and pivots into the Hibernation plan. This way, debt buys time and protects against a deeply dilutive equity round, while preserving the option to cut back, pay down the loan as far as possible, and continue as a lean, AV-45-focused or licensing-based company rather than risking a highly leveraged failure.

**5. Venture-debt risk and business-model sustainability**

Lenders manage their risk in a few keyways. First, they are very picky about who they lend to. They almost only work with startups that are VC-backed and have recently raised equity. In Avid's case, the company has already closed its A, B, and C rounds and has well-known investors (including big pharma). That tells a debt lender, "Serious investors have already done deep diligence here," and it also makes it more likely that those investors will step in before a promising company is allowed to default. On top of that, the lender takes a senior, secured position: they get a first claim on almost all of the company's assets, IP, equipment, receivables, so if things go badly, they are paid back before any preferred or common shareholders. They also get paid well for taking this risk: they charge interest of around 11–12%, collect upfront fees, and receive a small number of warrants (in Avid's case, less than 1% of the company). This gives them both steady income and a bit of upside if the company turns into a big success.

They also manage risk through contract terms and how they fund the loan over time. Covenants, like requiring a minimum cash balance, regular reporting, or including MAC clauses, and staged draws allow the lender to reduce or stop funding if the company's situation deteriorates. They don't wire the full $7.5M on day one. Instead, they commit the total amount but actually fund in tranches as Avid hits milestones and as the market environment allows. At the fund level, venture-debt firms spread these loans across many different companies and industries. Some borrowers will struggle or fail, but the

combination of interest payments, fees, and equity upside from the winners can still add up to strong overall returns.

This business model will be sustainable as long as lenders stay disciplined. If they stick to solid companies with strong VC backing and real milestones, keep their senior security, and price the risk correctly, they occupy a sweet spot between banks and VCs: lower risk than equity, but higher returns than normal loans. It becomes dangerous only if competition leads them to weaken covenants, underprice risk, or lend too much to weak companies. Then they start acting like equity investors who take a lot of downside but don't get enough upside. In Avid's case, the structure looks balanced: the lender gets an 11.5% loan, about $1.6M in interest over the life of the deal, and a small warrant position, while Avid gains roughly nine extra months of runway and a chance to avoid a very painful down-round, so long as Dan and the board borrow cautiously, pick the right terms, and are willing to hit the hibernation "emergency brake" if financing doesn't materialize.